

Accountancy — Class XII

Answer Key Paper 3 — Detailed Working Notes

Total Marks: 60

Subject: Accountancy (Partnership)

Class: XII

How to use this Answer Key:

- Section A: *ONLY* the correct option letter is given for each MCQ/A&R item.
- Sections B–E: detailed working steps shown for each item, with the final answer hint.
- Total marks: 60 (A:10, B:10, C:15, D:10, E:15). Partial credit is allowed for individual steps.

Section A — Multiple Choice Questions (Answer Key)

A.1 Answer: (b)

Section 4 of the Indian Partnership Act, 1932.

A.2 Answer: (c)

A partnership firm does not have a separate legal entity.

A.3 Answer: (b)

No partnership deed !' equal share of profits.

A.4 Answer: (a)

Mutual agency binds partners in ordinary course of business.

A.5 Answer: (b)

Goodwill = intangible value of reputation and earnings.

A.6 Answer: (a)

A's share = $(3/5) \times \text{total profit}$ using profit-sharing ratio 3:2.

A.7 Answer: (c)

Drawings $\times$ 6% p.a. for full year — match with the option that has this computation.

A.8 Answer: (c)

Revaluation account adjusts recorded assets/liabilities to current values and transfers reserves and P&L.

A.9 (A&R) Answer: (d)

A is false (no separate legal entity), R is true !' (d).

A.10 (A&R) Answer: (b)

Both A and R are true
about goodwill on retirement; R is
not the explanation of A !'
(b).

Section B — Very Short Answer (2 marks each)

B.1 Working + Final Answer:

Define partnership per Section 4 of
the Indian Partnership Act, 1932 in
1–2 sentences: persons, business, agreement, profit
sharing, mutual agency.

B.2 Working + Final Answer:

Formula: Sum of all capital balances
× average profit rate / number
of years, OR average profit ×
number of years of purchase.

B.3 Working + Final Answer:

Two rights: (i) right to share
profits; (ii) right to participate in
management. Any two listed in the
Partnership Act.

B.4 Working + Final Answer:

Interest on capital is provided ONLY
if partnership deed allows it; otherwise
NIL when deed is silent.

B.5 Working + Final Answer:

Differentiate fixed capital (separate current account)
vs fluctuating capital (all transactions in
one capital account).

Section C — Short Answer (3 marks each)

C.1 Working + Final Answer:

Interest on capital = capital ×
0.10 for each partner. A's interest
= A's capital × 10%; B's
interest = B's capital × 10%.
Show numerical answer with rupee symbol.

C.2 Working + Final Answer:

Three differences in tabular form: capital balance vs current account; current vs fluctuating method; treatment of interest on capital and drawings.

C.3 Working + Final Answer:

Use given capital values $\times 10\%$ p.a. for interest; subtract drawings interest (drawings $\times 6\%$ if asked); show work step by step.

C.4 Working + Final Answer:

On admission: goodwill brought in cash
! debit cash/bank, credit sacrificing partners' capital accounts in sacrificing ratio.

C.5 Working + Final Answer:

Average profit = $(P1+P2+P3)/3$, goodwill = average profit $\times$ number of years of purchase. Show journal entry for Z.

Section D — Case Studies (5 marks each = 5 sub-parts $\times$ 1 mark)**D.1 (a) Working:**

Calculate capital interest at 10% p.a. for each partner.

D.1 (b) Working:

Apply drawings interest @ 6% p.a. for the year.

D.1 (c) Working:

Determine divisible profit.

D.1 (d) Working:

Closing entry: debit P&L Appr, credit partners' capital A/c.

D.1 (e) Working:

Goodwill treatment on admission.

D.2 (a) Working:

Read admission ratio and old ratio.

D.2 (b) Working:

Capital entry for new partner.

D.2 (c) Working:

Sacrificing ratio distribution of goodwill.

D.2 (d) Working:

Existing reserves written off.

D.2 (e) Working:

Final distribution in new ratio.

Section E — Long Answer (5 marks each)

E.1 Working Steps:

Trading A/c: include Sales Return on Dr; Closing Stock on Cr. Direct expenses include Freight Inward. P&L A/c: include Carriage Outward, Insurance Premium as indirect. P&L Appr: interest on capital (10%) Dr, interest on drawings (6%) Cr; remainder divided equally.

E.2 Working Steps:

Average profit + 2-year purchase. C's share of goodwill. Revaluation A/c + settlement of Capital A/c as per the new ratio among A and B.

E.3 Working Steps:

Realisation A/c standard format. Transfer Bills Receivable endorsed (excluded). Profit/loss transferred to Capital A/c.